Ethiopia

Emerging manufacturing hub in Africa

Attractive investment opportunities

Enablers & support

EIC

ETHIOPIAN INVESTMENT COMMISSION

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Our Investment Promotion Objectives are:

Coordination and collaboration to attract FDIs to Ethiopia

Link up and network with the international community for **soliciting support**

Pitch potential manufacturing **opportunities** in Ethiopia & enablers

Learn Ethiopia's effort in developing the **manufacturing sector in general**

Investment - Why do business in Ethiopia?

Growing & dynamic Economy, access to East African market

Opportunities to invest in high value pharmaceutical sector

Benefit based on tailored enabling environment including specialized parks

Ethiopia has a clear vision for industrialization that builds off of its rapid growth

One of the fastest growing economies with **9.68%** average growth over the past 10 years.

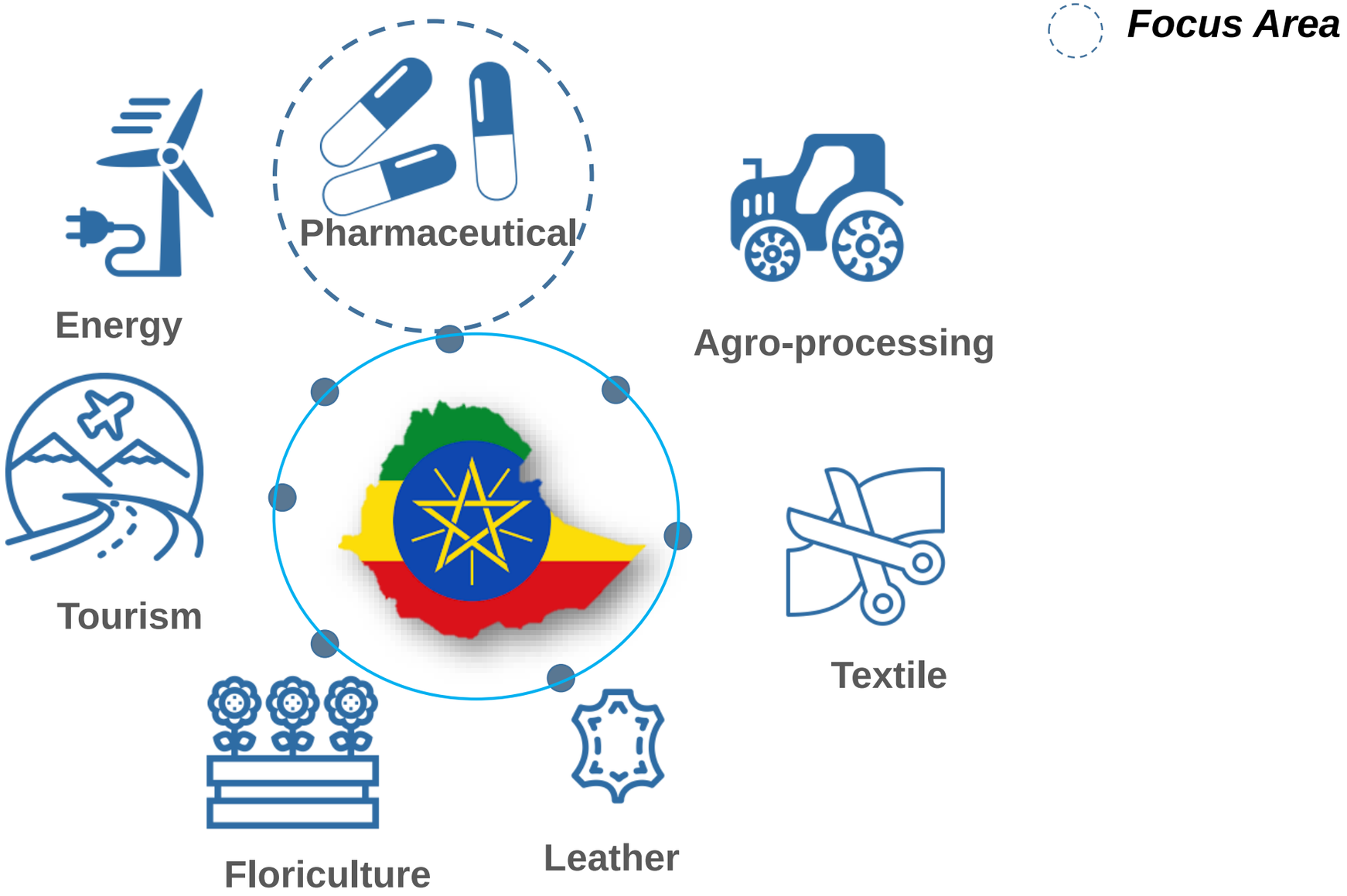
One of the top destinations for foreign direct investment standing **5th in Africa.**

Productive labor force with more than 60% of its population between the **ages of 15 – 65.**

Dedicated leadership with a vision to become a manufacturing hub in Africa by 2025.

Member of **preferential trade agreements and bilateral investment treaties** - COMESA, AGOA, etc.

Strategic sectors have been identified for investment including pharmaceutical and textile manufacturing



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Pharmaceutical manufacturing sectors is nascent with a potential for growth

Ethiopia's pharmaceutical sector market size

~ 1 B
USD by 2020

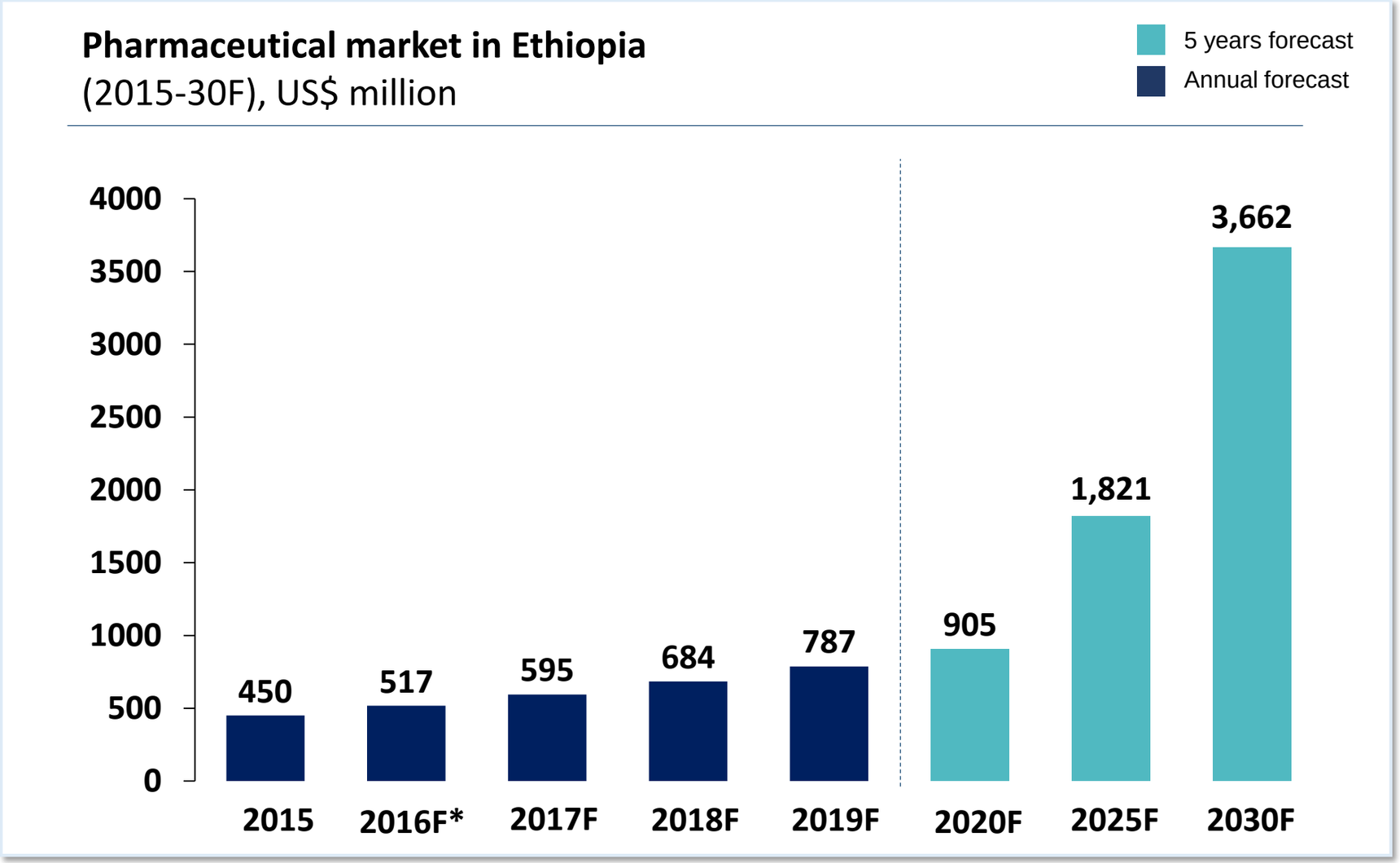
~ 4 B
USD by 2030

Mainly driven by:

- Import
- 12% of GDP to health (75% on essential medicines & services)
- Out of pocket expenditure (46% of total expenditure)
- Government 10 years expenditure for the sector (15B USD)

- **One of the first African countries** to develop a national strategy for pharmaceutical manufacturing
- **Strong investment policy focused on pharmaceuticals** including tax exemptions, one-stop-shop services and price preference in public procurement
- Potential to serve **>$20 billion** pharmaceutical market in Africa

Ethiopian pharmaceutical market has been growing at 15% per year and is predicted to reach $905 million by 2020



- Local market has been **growing steadily at an average of 15%** per year
- With growing population, **increased access to health services** and a **growing middle-class**, demand is projected to grow exponentially & reach >3.6 billion by 2030
- Ethiopia currently imports **~85% of its pharmaceutical needs** – a big gap that is yet to be fulfilled by manufacturing locally

Note: *Forecast
Source: Frost & Sullivan, World Bank, National Strategy and Plan of Action for Pharmaceutical Manufacturing

Large & growing population and rising health care coverage make pharmaceutical manufacturing an attractive endeavor

Key drivers of pharmaceutical demand in Ethiopia

Growing population

- Second-largest population in Africa (>100M, **~8.5% of Africa's population**); growth of **2.3% per year** is expected
- With average economic growth of >10% per year, **increase in disposable income** will influence spending on pharmaceutical products

Rising healthcare coverage

- Increasing healthcare coverage by government to the large rural population creates growing demand for pharmaceutical products.
  - Primary health care service coverage reached 100% in 2015
- Awareness, diagnosis and treatment are increasing
  - High burden of communicable diseases: malaria, HIV/AIDS, TB
  - Prevalence of non-communicable diseases: diabetes, cancer, hypertension

Source: Interviews, market research

Ethiopia’s textile and garment industry presents unique opportunities to investors

- **Booming industry** which has grown 7 fold since 2008
- **Emerging as a regional hub for sourcing**/contract manufacturers
- Managed to attract **leading global brands** such as PVH, H&M, Wuxi and Sunshine,

- **More than 2.7 million** hectare of suitable land availability for cotton cultivation
- **Reliable green energy** supply with an estimated cost of 0.04 USD/kWh.
- **Market access to USA and EU** through free trade agreements

- **Textile manufacturing:** producing any goods prepared by weaving, knitting or felting.
- **Garment manufacturing**: producing any article of clothing such as dresses, suits, shirts, trousers
- **Components and Trim manufacturing**: producing components & decorations such zippers, buttons, plastics, tec.

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Kilinto Industrial Park is the first IP specializing in pharmaceuticals

Location

- Addis Ababa; 25 km from city center, 863 Km from Djibouti port and 10 minutes drive from Bole International Airport

Population and employment

- +4 million people live in the city
- Accessible to skilled labour

Industrial park area

- Established on 279 ha of land
- 177 ha service land for manufacturing
- Land is available at reasonable lease prices

Industrial park facilities

- Health Center
- Police Station
- One-Stop Shop Services
- Commercial Building
- Fire Brigade & 24/7 Security Services
- Waste Treatment Facilities

Industrial park key characteristics

SECTOR SPECIALIZATION

EXPORT ORINTED

VERTICALY INTEGERATED

SUSTAINABILITY

SKILL DEVELOPMENT

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Located along **strategic economic corridors, connected to ports by electric driven railway lines and asphalt roads** with Close proximity to abundant labor force

Ready for plug-and-play, equipped with all the necessary infrastructure including waste water treatment plants with joint calibration

Dedicated power with own sub-station and state of the art waste treatment facilities with a dedicated park administration and support system

Health stations, fire brigade, expats accommodation and 24 hours security services

One Stop Services (OSS) including processing & issuance of permits, licenses, registration certificates, agreements, tax identification number, customs clearance, banking services.

Proactive business environment – tailored incentives and support

Fiscal Incentives tailored to investment

Exemption from income tax up to 15 years for Industry Park Developer,

Exemption from income tax up to 8 - 10 years for enterprises inside IPs,

Exemption from duties and other taxes on imports of machinery, equipment, construction materials, spare parts, raw materials and vehicles

Loss carry forward

Full export duty exemption

Non-fiscal Incentives tailored to investment

Customs facilitation through bonded export factory and similar other schemes

Guarantee against expropriation

Guarantee for repatriation of funds

Relaxed Industrial park land regime - 60-80 years charge-free lease for IP Developers, discounted lease rate for IP Enterprises

Industry support targeting manufacturers

Public procurement: 25% price preference and 30% prepayment for firms manufacturing in Ethiopia,

Potential for long term procurement guarantee.

Fast-track medicine registration

Regional regulatory harmonization underway to catalyze regional trade

Miscellaneous

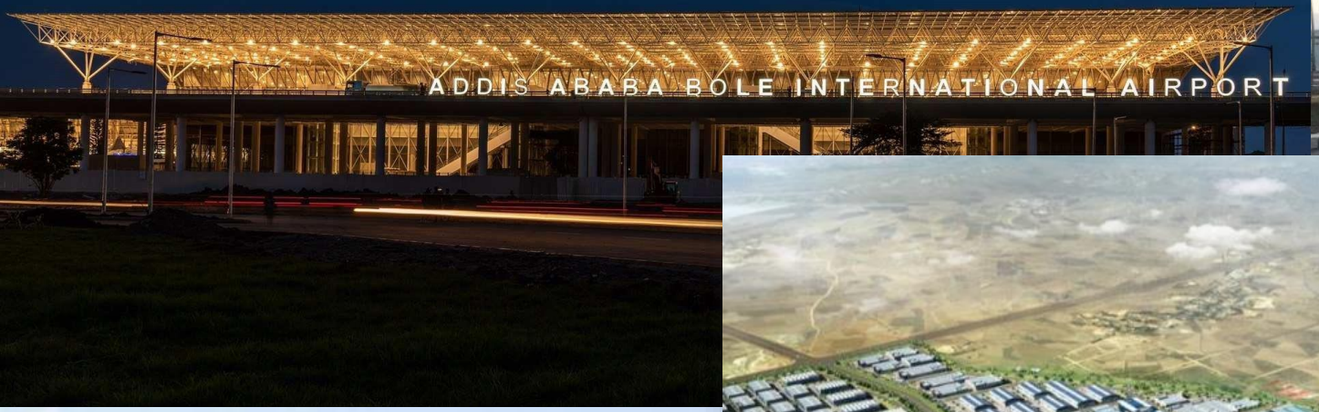
Expedited visa procedure - expedited procedure of securing entry, work permit and certificate of residency

Multiple entry visas for share holders and general managers

Facilitation of market linkages

One-Stop Shop Service under the EIC - including pre-establishment licensing and registration and post-establishment after-care services

10 minutes drive from Addis Ababa International Airport.



35 minutes drive to Modjo dry port through expressway.